

REVIEW HEARING COURT ORDER

TENTATIVE RULING: The Court is apprised that both Conservators (the parents of Conservatee Jaime Esguerra) have passed away and that Conservatee's sister has since filed a Petition to be appointed Conservator in Contra Costa County. The Court is informed that the Conservatorship was established on September 14, 2026, however, there remains no copy of Contra Costa County Court's September 14, 2026, order appointing the Conservatee's sister Conservator (the "9/14 Order"), in this Court's file. If a copy of the 9/14 Order is filed prior to the hearing, the Court will terminate the Conservatorship. If a copy of the 9/14 Order is not filed before the hearing, the matter will be CONTINUED to October 22, 2026, at 8:30 a.m. in Dept. A, pending approval of Conservatorship Petition in Contra Costa County. The Clerk is directed to send notice to the parties.

CIVIL LAW & MOTION CALENDAR – Hon. Cynthia P. Smith, Dept. A (Historic Courthouse) at 8:30 a.m.

Blue Sky Utility, LLC, et al v. Barend Venter

24CV002242

CONFERENCE CASE MANAGEMENT

The Case Management Conference in this matter is continued to December 16, 2026, at 8:30 am in Department A.

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Barend Venter et al v. Ofer Yannay et al

24CV000715

CONFERENCE CASE MANAGEMENT

In light of the Court's concurrent ruling on the Demurrer to the Second Cause of Action in the Second Amended Complaint, the Case Management Conference is continued to December 16, 2026, at 8:30 am in Department A.

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Barend Venter et al v. Ofer Yannay et al

24CV000715

DEFENDANTS OFER YANNAY, ALLION RAVEH, NADAV TENNE, NOAM FISHER, SHAHAR GERSHON, AND TOMER DROVAL'S DEMURRER TO PLAINTIFF'S AMENDED SECOND CAUSE OF ACTION AND MEMORANDUM OF POINTS AND AUTHORITIES

TENTATIVE RULING: The demurrer is SUSTAINED. Plaintiffs are granted 10 calendar days' leave, from entry of the instant order, to attempt to further amend the operative complaint to state good claims for breach of fiduciary duty against the moving defendants.

Defendants Ofer Yannay, Allon Raveh, Nadav Tenne, Noam Fisher, Shahar Gershon, and Tomer Droval (collectively, Individual Defendants) demur, pursuant to Code of Civil Procedure section 430.10, subdivisions (e) and (f), to the Second Cause of Action of the Second Amended Complaint (SAC) of Plaintiffs Barend Venter and Venter Ventures LLC (Plaintiffs) on grounds that the SAC fails to allege facts sufficient to state the cause of action and that the cause of action is uncertain.

On June 6, 2025, the Individual Defendants demurred to the same cause of action as it appeared in Plaintiffs' First Amended Complaint (FAC). The Court sustained the demurrer pursuant to its August 8, 2025, Order After Hearing (FAC Demurrer Order) and granted Plaintiffs leave to amend.

A. REQUEST FOR JUDICIAL NOTICE

The Individual Defendants' Request for Judicial Notice (RJN) is GRANTED IN PART as to the Operating Agreements attached as Exhibits 1 and 2 to the Declaration of Yehuda Goor (Goor Decl.).

The Court acknowledges that the Operating Agreements are not only alleged in the SAC, but also relied on by Plaintiffs in asserting their claim for declaratory relief. (See SAC at ¶¶ 29, 118-119, 124, and 127-128.) The Court further acknowledges the authority, cited by the Individual Defendants, that supports their assertion that "[d]ocuments that are referenced in the SAC, relied on by Plaintiffs, or which govern the Plaintiffs' claims are judicially noticeable." (See RJN at 2:3-11.) Thus, the Court takes judicial notice of *the existence* of the Operating Agreements.

However, the Court concludes that it is prohibited from taking judicial notice of the meaning of the Operating Agreements, or either of them.

"A matter ordinarily is subject to judicial notice only if the matter is reasonably beyond dispute. [Citation.] Although the existence of a document may be judicially noticeable, . . . its proper interpretation [is] not subject to judicial notice if . . . reasonably disputable. [Citation.] . . . 'In ruling on a demurrer, a court may consider facts of which it has taken judicial notice. [Citation.] This includes the existence of a document. When judicial notice is taken of a document, however, the truthfulness and proper interpretation of the document are disputable. [Citation.]" [Citation.]"

. . .

The proper interpretation of a contract is disputable if the contract is susceptible of more than one reasonable interpretation, that is, if the contract is ambiguous. An ambiguity may appear on the face of a contract, or extrinsic evidence may reveal a latent ambiguity. [Citation.] A court determining whether a contract is ambiguous must first consider extrinsic evidence offered to prove the parties' mutual intention. If the court determines that the contract is reasonably susceptible of an interpretation supported by extrinsic evidence,

the court must admit that evidence for purposes of interpreting the contract. [Citation.] A court cannot determine based on only the four corners of a document, without provisionally considering any extrinsic evidence offered by the parties, that the meaning of the document is clear and unambiguous. [Citation.] Instead, a court must provisionally consider extrinsic evidence offered by the parties in the manner we have stated.

For a court to take judicial notice of the meaning of a document submitted by a demurring party based on the document alone, without allowing the parties an opportunity to present extrinsic evidence of the meaning of the document, would be improper. A court ruling on a demurrer therefore cannot take judicial notice of the proper interpretation of a document submitted in support of the demurrer. (*Fremont Indemnity Co. v. Fremont Gen. Corp.* (2007) 148 Cal.App.4th 97, 113-115 (*Fremont*).)

The holding in *Scott v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 743, (*Scott*), cited by the Individual Defendants, accords with the foregoing. “[W]hether [a] fact derives from the legal effect of a document or from a statement within the document, the fact may be judicially noticed where, as here, *the fact is not reasonably subject to dispute.*” (*Id.* at 754. Italics added.)

One of the two arguments advanced by the Individual Defendants in support of the demurrer relies on the meaning – or legal effect – of a provision set forth in Section 8.1(h) of the Operating Agreements; “the Nofar Managers shall not be required to prefer the business or properties of the Company over the business or properties of any other entity in which any such Manager or any of his or her Affiliates may have an interest.” (See Support Memo at 2:16-3:4, quoting Goor Decl., Exhs. 1-2, § 8.1(h).)

The provision’s meaning is not, on its face, clear and unambiguous. Moreover, significant portions of the parties’ respective briefs are dedicated to arguing the meaning of the provision. (See, *e.g.*, Support Memo at 5:10-9:26, and Opposition at 1:10-6:20.) These arguments demonstrate that there is a dispute regarding the provision’s proper interpretation. As such, the Court is not permitted to take judicial notice of the provision’s meaning for purposes of analyzing the instant demurrer. (See *Fremont, supra*, 148 Cal.App.4th at 114-115.)

While the Court takes judicial notice of its files in this action, it is not clear, in light of the Court’s ruling on the request to take judicial notice of the Operating Agreements, above, that any of the matters in the file, identified in the Request for Judicial Notice, are relevant to the Court’s analysis of the instant demurrer. (See *In re Tobacco Cases, II*, JCCP 4042 (2004) 123 Cal.App.4th 617, 626 [“‘Although a court may take judicial notice of a variety of matters [citation], only relevant material may be noticed’”].)

B. BACKGROUND

A complaint must contain “facts constituting the cause of action.” (Code Civ. Proc., § 425.10, subd. (a)(1).) “The party against whom a complaint or cross-complaint has been filed

may object, by demurrer . . . to the pleading on . . . grounds [that] . . . (e) The pleading does not state facts sufficient to constitute a cause of action . . . [and/or] . . . (f) The pleading is uncertain.” (Code Civ. Proc., § 430.10.)

A demurrer on grounds that a plaintiff has failed to state a claim is treated as “admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) Such demurrer ““does not admit . . . facts impossible in law, or allegations contrary to facts of which a court may take judicial knowledge.’ [Citation.]” (*Kenneth Mebane Ranches v. Superior Court* (1992) 10 Cal.App.4th 276, 291-292.) The Court must “construe the allegations of a complaint liberally in favor of the pleader.” (*Skopp v. Weaver* (1976) 16 Cal.3d 432, 438.) Court must also accept as true facts that may be inferred from those expressly alleged. (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1405.) The Court may also consider as grounds for a demurrer any matter that is judicially noticeable under Evidence Code sections 451 or 452. (Code. Civ. Proc., § 430.30, subd. (a).) Because “[a] demurrer tests only the legal sufficiency of the pleading...the question of plaintiff’s ability to prove the[] allegations, or the possible difficulty in making such proof does not concern the reviewing court.” (*Comm. on Children’s Television, Inc. v. Gen. Foods Corp.* (1983) 35 Cal.3d 197, 213-14.)

A demurrer for uncertainty is disfavored and strictly construed; even where a complaint is in some respects uncertain ambiguities can be clarified under modern discovery procedures. (See *Lickiss v. Financial Industry Regulatory Authority* (2012) 208 Cal.App.4th 1125, 1135 (*Lickiss*) [held: a demurrer for uncertainty is disfavored and strictly construed; even where a complaint is in some respects uncertain, ambiguities can be clarified under modern discovery procedures])

C. ANALYSIS

1. The Court Does Not Find that the Second Cause of Action Fails as a Matter of Law

The Individual Defendants first argue that the Second Cause of Action fails as a matter of law “because Plaintiffs’ allegations of breach of fiduciary duty are the exact conduct that the Operating Agreements carved out from the scope of the Individual Defendants’ fiduciary duties as permitted by California law.” (Support Memo at 5:13-15.)

This argument, however, rests on the Individual Defendants’ interpretation of section 8.1(h) of the Operating Agreements. As discussed above, the Court cannot take judicial notice of the Individual Defendants’ proffered interpretation for purposes of demurrer. The Court cannot, therefore, conclude that the provision permits the conduct alleged to constitute a breach of fiduciary duty.

2. Plaintiffs Fail to Allege Facts Sufficient to State a Claim for Breach of Fiduciary Duty

The Individual Defendants next argue that “the SAC’s allegations remain conclusory, and therefore cannot overcome the business judgment rule. The SAC suffers from the same

deficiencies identified by the Court in the Demurrer Order regarding the prior complaint, and Plaintiffs still fail to sufficiently allege an exception to the business judgment rule.” (Support Memo at 10:2-7.)

The Court incorporates, herein, the discussion of the law relating to the pleading requirements for a claim of breach of fiduciary duty in light of the business judgment rule, set forth in its FAC Demurrer Order. (See *id.* at § C, pp. 3-5.) As noted there, “a plaintiff must allege sufficient facts to establish . . . exceptions [to the presumption that directors’ decisions are made in good faith and are based upon sound and informed business judgment]. To do so, more is needed than ‘conclusory allegations of improper motives and conflict of interest. . . . In most cases, ‘the presumption created by the business judgment rule can be rebutted only by affirmative allegations of facts which, if proven, would establish fraud, bad faith, overreaching or an unreasonable failure to investigate material facts. [Citation.] Interference with the discretion of directors is not warranted in doubtful cases.’ [Citation.] (*Berg & Berg Enterprises, LLC v. Boyle* (2009) 178 Cal.App.4th 1020, 1045-1046 (*Berg & Berg*)).”

The Individual Defendants assert that “[i]n response to the defects identified in the Court’s Demurrer Order, Plaintiffs simply added the same boilerplate language to each of paragraphs 111(e)-(k) (now numbered as 113(e)-(k)): ‘This was a decision based on Nofar’s interest and not Blue Sky’s and did not involve any exercise of business judgment relative to Blue Sky’s interests.’ (See SAC Ff 113(e)-(k)).” (Support Memo at 12:1-4.)

The Court finds that these are “conclusory allegations of improper motives and conflict of interest” and, pursuant to the holding in *Berg & Berg*, insufficient to cure the deficiencies in the Second Cause of Action previously identified by the Court.

Plaintiffs assert that “[t]he Second Amended Complaint . . . allege [*sic*] significant conflicts of interest and specific acts which are breaches of duty which were engaged in purposefully and without any regard for business judgment.” (Opposition at 8:5-7.) In citing to such allegations, Plaintiffs state only that “[t]hese allegations begin at paragraph 55 of the Second Amended Complaint and continue up until the First Cause of Action.” (*Id.* at 8:18-19.)

The only amendments (to the FAC) in these sections of the SAC that the Court can identify consist of the scattered use of the phrase “through the individually named defendants.” (Compare FAC at ¶ 53 with SAC at ¶ 55.) The inclusion of this phrase to describe various actions by Nofar does not constitute “affirmative allegations of facts which, if proven, would establish fraud, bad faith, overreaching or an unreasonable failure to investigate material facts.” (*Berg & Berg, supra*, 178 Cal.App.4th at 1046.) As the Court previously noted, “[t]he bulk of these paragraphs allege actions of Nofar, not the Board as a whole or its individual directors.” (FAC Demurrer Order at p. 5.) The addition of the phrase “through the individually named defendants” does not compel a different conclusion.

Based on the foregoing, the Demurrer is SUSTAINED.

3. Leave to Amend

Generally, it is an abuse of discretion for a court to deny leave to amend where there is any reasonable possibility that a plaintiff can state a good cause of action. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349.) However, the pleading party bears the burden of showing such reasonable possibility. (*Ibid.*)

Plaintiffs do not, through the Opposition, request leave to amend, let alone show how they may do so. However, the Court is aware – from Plaintiffs’ September 9, 2026, ex parte application – that it has prepared a Third Amended Complaint which they believe states a good cause of action against the Individual Defendants. For that reason, the Court grants Plaintiffs leave to amend. Plaintiffs should be mindful that the Court will be disinclined to grant leave to amend for a fourth time in the event their Third Amended Complaint does not state a good cause of action as to the Individual Defendants.

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Massimo Falsini et al v. Wyman Property Management et al

24CV001280

[1] PLAINTIFF MASSIMO FALSINI’S MOTION TO COMPEL CALISTOGA THIRD STREET INVESTORS RESPONSES TO **REQUEST FOR PRODUCTION OF DOCUMENTS SET TWO**, AND FOR MONETARY SANCTIONS AGAINST DEFENDANT **CALISTOGA THIRD STREET INVESTORS** AND ITS COUNSEL
[Filed 8/26/26]

TENTATIVE RULING: The motion is GRANTED. Defendant Calistoga Third Street Investors (“Investors”) shall serve verified, code-compliant responses, without objections, to Plaintiff Massimo Falsini’s (“Plaintiff”) Request for Production of Documents, Set Two (“Requests”) within 10 calendar days of service of notice of entry of order. Investors is further ordered to pay, within 10 calendar days of notice of entry of this order, sanctions to Plaintiff, care of his attorney of record, in the amount of \$716.65.

The moving party failed to include in the notice of this motion proper notice of the Court’s tentative ruling system as required by Local Rule 2.9. Moving party is directed to immediately provide, by telephone call AND email, the missing notice to opposing party/ies forthwith. The requirements for requesting oral argument under Local Rule 2.9 remain in effect. However, the Court may grant belated requests for oral argument or continuance of hearing, made by any party who represents it did not timely receive the required notice, regardless of whether or not moving party is present at the hearing.

Plaintiff moves for an order compelling Investors to serve verified, code-compliant responses, without objections, to the Requests within ten (10) calendar days of service of the Court’s order; for an order confirming that all objections, including objections based on privilege and work product, have been waived absent an order relieving Investors from waiver; and monetary sanctions in the amount of \$1,247.90 against Investors and its counsel, Clinton & Clinton, jointly and severally.